

The Ethereum Virtual Machine operates somewhat similarly to a shared computer, except it is global in scale and more than one user can operate it at a time. Just as everyone can see Bitcoin transactions from anywhere in the world, anyone can see Ethereum's programs running from anywhere in the world. While this chapter will dive deep into Ethereum as a cryptocommodity, there are many other budding cryptocommodities, provisioning decentralized resources like cloud storage, bandwidth, transcoding, proxy re-encryption, and so on.

THE IDEA BEHIND ETHEREUM'S WORLD COMPUTER

The founding team of Ethereum and its native asset, ether, weren't the first to dream of globally distributed computer programs, or what are commonly referred to as smart contracts. For example, Nick Szabo, who was also one of Chaum's disciples at DigiCash ([Chapter 4](#)), had been talking about smart contracts and digital property since the early 1990s. In 1996, he published an article in the magazine *Extropy* on the topic entitled "Smart Contracts."¹

Smart contracts are critical to understand but have a misleading name. The first thing people think of when they hear smart contracts is legal documents that think for themselves, which misses the mark by a wide margin. We believe smart contracts are better thought of as *conditional transactions* because they refer to logic written in code that